

that the exact buy-and-sell rules are largely irrelevant. The concept is important but the common focus on entry and exit rules is misguided.

■ They Are All Doing the Same Thing

I make the somewhat bold claim in this book that all the trend-following futures managers out there are more or less doing the same thing and that this is not a very complicated thing to replicate. I have to admit that part of the reason I make this claim is that the controversy of the statement itself should catch your eye and if you are still reading this book, I have probably succeeded so far, but I am serious in my statement and I intend to prove it. Of course, many funds have their own clever little tweaks which may make a substantial performance difference over time and my statement is in no way intended to belittle the successful futures managers in this field, rather the contrary. There is a clear difference between understanding how to construct a successful strategy and having the ability, drive, and willpower to make it happen in reality. That is the tough part that can never be properly taught. The entrepreneurs who started the funds I mention in this book have achieved incredible success and should receive their proper credit for it.

The first chart I show (Figure 3.1) is not so much for comparison purposes but to provide an overview of the performance profile for this type of fund. Figure 3.1 shows you a number of funds in this field and how they have performed since their inception and because they all have different dates of



FIGURE 3.1 Trend-followers' performance.